

Evans Household Review

Eleven documents from the T-V folder cover seven valued accounts worth **\$524,811**, a defined-benefit plan and a life policy with no values shown, and the family home. **\$440,640** (84%) sits with Equitable — the 401(k) inside a group variable annuity and a small joint brokerage account cleared through LPL. That is the money the Schwab move is about; the children's accounts are already there and the 529 should stay where it is.

VALUED ACCOUNTS	AT EQUITABLE / LPL	401(K) COST + DRAG TODAY	ESTIMATED ANNUAL SAVING AT SCHWAB
\$524,811 7 accounts; DB plan, life policy and home not valued	\$440,640 401(k) \$384,795 + joint \$55,845	1.73% ≈ \$6,650 a year on \$384,795	\$6,438 ≈ \$64k over ten years before compounding

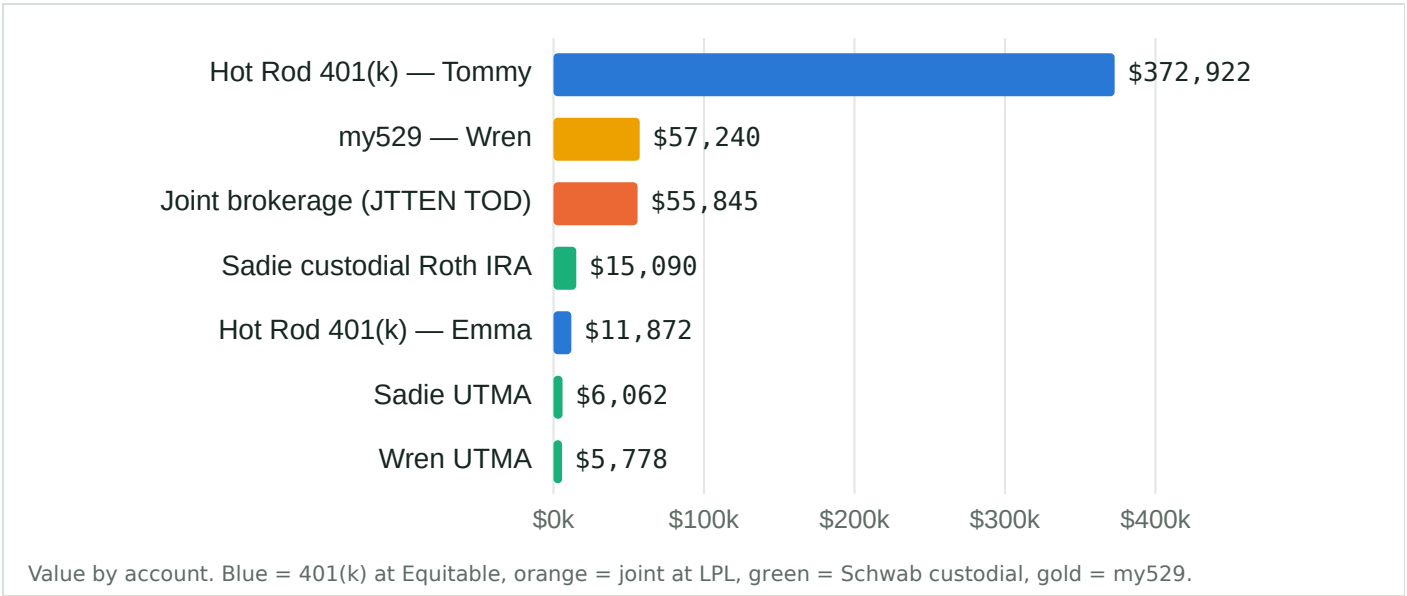
1 · WHAT THEY OWN

Seven accounts, three custodians, one obvious cost centre

The household's investable assets are dominated by Tommy's 401(k) — **\$372,922** at 30 June, 71% of everything valued. Emma has a small profit-sharing balance in the same plan (\$11,872). The plan is Equitable's "Hot Rod 401k", a group variable annuity (Separate Account 65) sold and serviced by an Equitable representative, with two investment choices in use: the T. Rowe Price Retirement 2035 R fund and a Guaranteed Interest Option paying 2.00%.

The joint brokerage account at Equitable Advisors/LPL holds **\$55,845**: 79% in a single zero-coupon Treasury STRIP maturing August 2029, 20% in SpaceX Class A bought on 12 June (flagged "unsolicited"), and a sliver of cash. The account's stated objective is "Income with Moderate Growth", yet its estimated annual income is \$0.

The children's accounts are already at Schwab and self-directed: Sadie's custodial Roth IRA (\$15,090), and UTMA's for Sadie (\$6,062) and Wren (\$5,778), all built from ACWI, QQQ and AGG with no fees. Wren's my529 plan holds **\$57,240** in a 2032/33 target-enrollment portfolio, funded at \$200 a month, and has doubled its \$28,600 cost basis.



ACCOUNT	CUSTODIAN	AS OF	VALUE	2026 YTD GAIN	YTD RETURN	EXPLICIT FEES YTD	STATUS
Hot Rod 401(k) — Tommy 401(k) · Tommy	Equitable (group variable annuity)	2026-06-30	\$372,922	\$20,551	6.1%	\$652	MOVE
Hot Rod 401(k) — Emma 401(k) · Emma	Equitable (group variable annuity)	2026-06-30	\$11,872	\$1,039	9.9%	\$31	MOVE
Joint brokerage (JTEN TOD) Taxable · Tommy & Emma	Equitable Advisors / LPL Financial	2026-06-30	\$55,845	\$52	0.1%	—	MOVE
Sadie custodial Roth IRA Roth IRA (minor) · Sadie	Charles Schwab	2026-07-31	\$15,090	\$486	3.3%	—	AT SCHWAB
Sadie UTMA UTMA (CA) · Sadie	Charles Schwab	2026-07-31	\$6,062	\$480	8.6%	—	AT SCHWAB
Wren UTMA UTMA (CA) · Wren	Charles Schwab	2026-07-31	\$5,778	\$413	7.7%	—	AT SCHWAB
my529 — Wren 529 · Tommy (bene. Wren)	my529 (Utah)	2026-06-30	\$57,240	\$3,912	7.5%	—	KEEP
Total valued			\$524,811	\$26,933	5.5% ex-DB	\$683	

YTD return is a simple (gain ÷ beginning value) figure for the eight-month and seven-month periods; the 401(k) figures are Equitable's own personal rates of return. Explicit fees are what the statements print; embedded fund expenses are not included here.

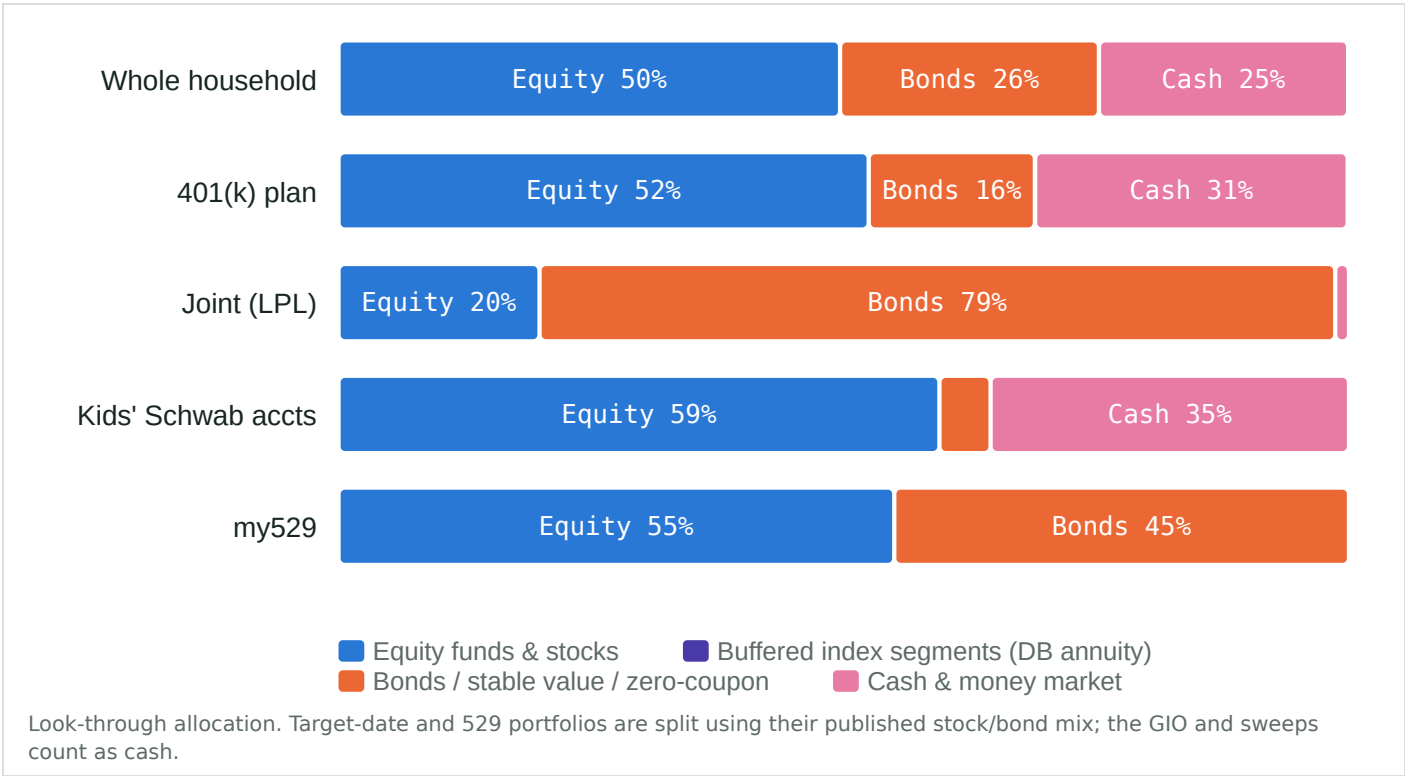
Not valued in the documents: the Evans Group defined-benefit plan (an Equitable Structured Capital Strategies PLUS annuity, contract dated Feb 2021 — the August letter is a segment-maturity notice with no dollar figures); the Prudential flexible-premium life policy (only a \$500 planned-premium reminder); and the home (mortgage \$467,836 at 2.75%, ~24 years left). The DB plan could be a six-figure asset — get its statement before the client meeting.

2 · ALLOCATION

Balanced on paper, but a third of the retirement money earns 2%

Looking through the funds, the household is roughly **50% equity / 26% bonds / 25% cash and guaranteed**. That looks like a moderate allocation, but the "cash" is doing two very different jobs. Inside the 401(k), **\$119,053** (31%) sits in the Guaranteed Interest Option at 2.00% — appropriate as a stable-value sleeve for someone near retirement, but Tommy is in a 2035 target-date fund, which implies roughly nine years to retirement, and the GIO rate is well below what a money-market fund or T-bills pay today (about 3.7–3.8%). Outside the plan, **\$9,480** is parked in bank sweeps at 0.01% — most of it the \$6,419 that is 43% of Sadie's growth-objective Roth IRA.

The equity sleeve is sensibly diversified where it is held in funds: the T. Rowe Price target-date funds are global multi-asset portfolios (75.8% stocks / 24.0% bonds for the 2035 fund), the kids own ACWI, and the 529 is age-based. The two concentrated spots are both in the joint account: one Treasury STRIP is 79% of it and SpaceX is 20%. The STRIP itself is fine — a AAA zero maturing in three years at about a 4.2% yield to maturity — but it pays nothing along the way, which is why an "income" account shows \$0 income.

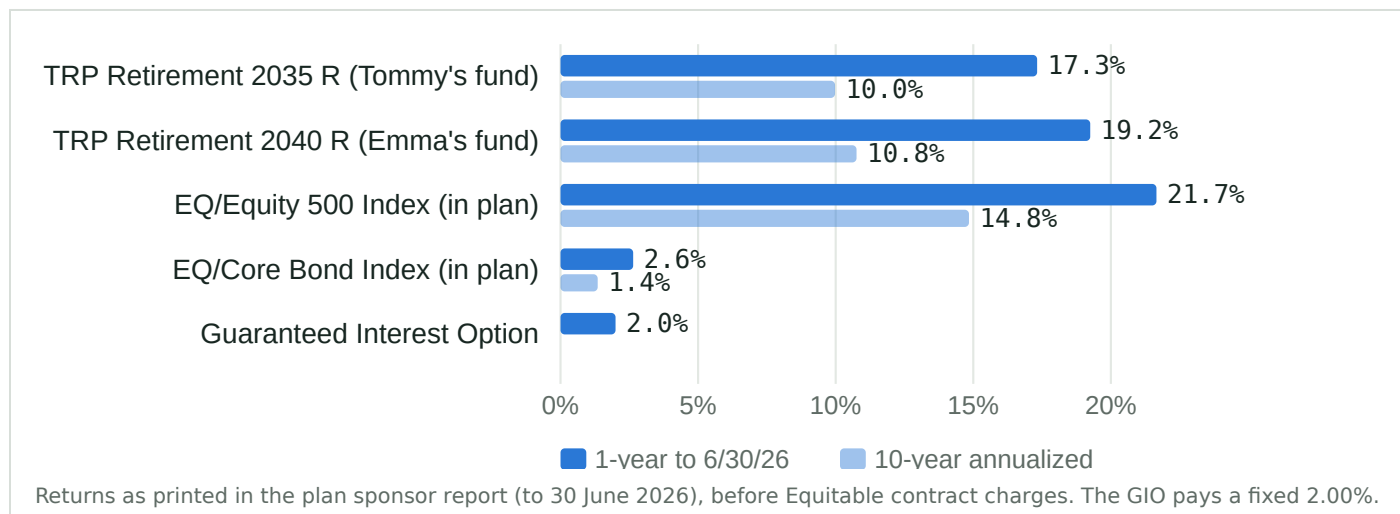


3 • PERFORMANCE

The funds have done their job; the wrapper has not

Tommy's personal rate of return was **6.59%** for Q2 and **6.14%** for the first half of 2026; Emma's, 100% in the 2040 fund, was 11.02% and 9.89%. The gap is the GIO: the T. Rowe Price 2035 R fund itself returned 8.80% YTD and 17.32% over one year, but a third of Tommy's balance earned 2% annualized. Over ten years the 2035 fund has compounded at 9.98% a year — respectable for a 75/25 portfolio, and in line with the plan's own S&P 500 index option minus the bond drag.

Those are the fund's returns before Equitable's charges. The statement footnote says the numbers exclude the separate-account charge, contract-level charge, contingent withdrawal charge and administrative charge; only the "asset charge" (\$336 for the quarter on Tommy's account) is itemized. The joint account was flat for the year (+\$52 through June) because it was mostly cash and a zero-coupon bond until the SpaceX purchase; the kids' Schwab accounts returned 3–9% YTD, and the 529 gained 7.5%.

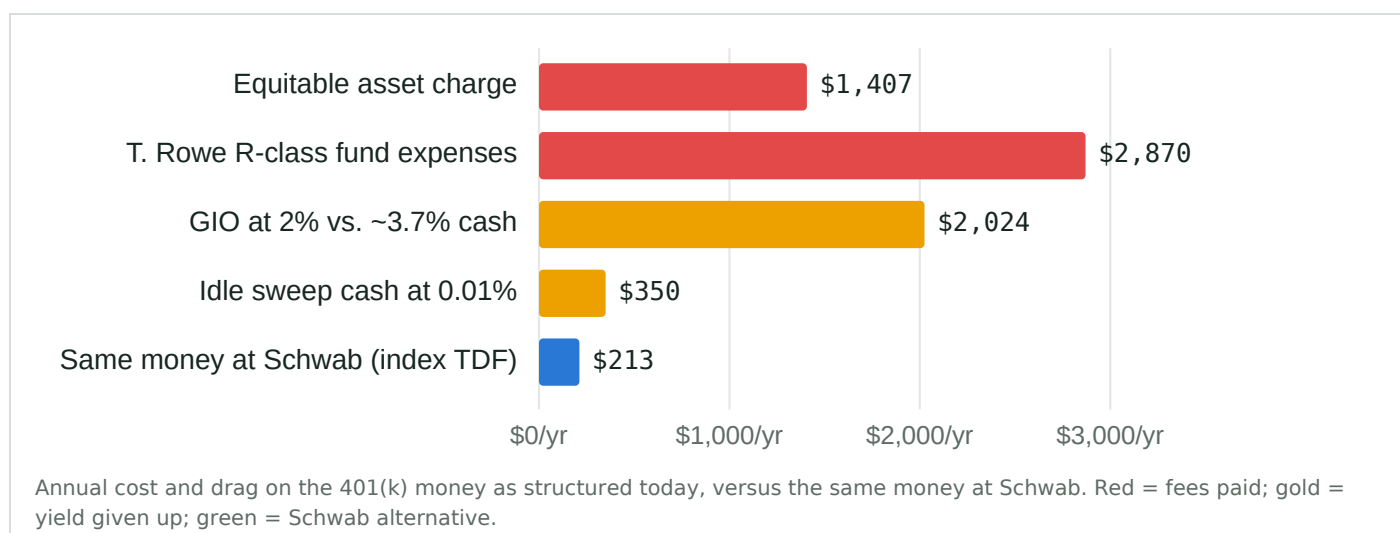


4 • COST

About 1.7% a year, most of it invisible

Only one fee appears on the 401(k) statements: the asset charge, **\$352** for the quarter across both participants, or about **\$1,407** a year (0.53% of the variable-fund balance; the GIO is not charged). The larger cost is inside the fund. The R share class of the T. Rowe Price Retirement funds carries a 1.08% expense ratio — including a 0.50% 12b-1 distribution fee that compensates the selling representative — and is netted out of the unit value, so it never shows up as a line. On \$265,742 that is roughly **\$2,870** a year. Equitable's own performance note lists further separate-account and contract-level charges that are not itemized anywhere in these pages.

Add the opportunity cost of the GIO (about **\$2,024** a year versus a 3.7% money fund) and the idle sweep cash (\$350), and the household is giving up roughly **\$6,650** a year — 1.73% of the plan. The same balances at Schwab in an index target-date fund (about 0.08%) with the stable-value money in a money-market fund would cost about **\$213**. On a \$385k plan growing at 6%, the difference compounds to roughly **\$100,878** over ten years.



Verify before quoting to the client: (1) the current T. Rowe Price R-class expense ratio from the plan's fee disclosure; (2) Equitable's separate-account / contract charges and the contingent withdrawal charge schedule for contract 693006 — the statement says they exist but does not price them; (3) the SWYFX expense ratio and SWVXX yield on the day of the meeting.

5 • RECOMMENDATION

Move the 401(k) and the joint account to Schwab; leave the rest alone

The case for consolidating is not that Schwab's funds will outperform T. Rowe Price — it is that the household is paying roughly 1.7% a year for a two-fund plan with two participants, a third of which is earning 2%. A Schwab Individual 401(k) has no plan or account fees, offers Roth deferrals and Roth profit-sharing, and gives access to index funds at a tenth of the cost. The joint account moves in kind for a \$125 exit fee. Everything else — the Schwab custodial accounts, the 529, the mortgage — is already in the right place and just needs housekeeping.

#	ACCOUNT	VALUE	DESTINATION	METHOD	PRE-CONDITIONS / OPEN ITEMS
1	Hot Rod 401(k) — Tommy & Emma	\$384,795	Schwab Individual 401(k) — traditional + Roth	Adopt the Schwab plan, terminate the Equitable contract, direct plan-to-plan rollover. Lower-friction first step: roll the \$108,707 'Rollover' source to a Schwab Rollover IRA now if the plan allows in-service distribution of rollover money.	Employee census must be owner + spouse only (Emma is the only other participant on the sponsor report). Equitable contingent withdrawal charge schedule not on the statements — get it in writing. GIO transfer restriction is currently waived: move that \$119k first. Schwab I-401(k) has no loans.
2	Evans Group DB plan (SCS PLUS annuity)	not shown	Schwab Personal Defined Benefit Plan, or terminate and roll to a Schwab IRA	Decide with the actuary/TPA whether the DB plan still fits the business (\$90k+/yr deductible funding). Exit annuity segments only at their maturity dates to avoid the interim-value haircut.	Contract dated 2/10/2021; SCS PLUS withdrawal charge 6/6/5/5/4/3% by contract year → probably 3% until Feb 2027, then 0%. Need contract value and segment schedule — none of it is on the letter.
3	Joint brokerage (LPL x1858)	\$55,845	Schwab One joint TOD	ACAT in kind; everything transfers. Then put the \$763 (and any future cash) in SWVXX.	\$125 LPL transfer-out fee. Decide separately whether the 2029 STRIP (≈4.2% yield to maturity, no cash income) and SPCX fit the stated 'income' objective.
4	Sadie Roth IRA / Sadie & Wren UTMAs	\$26,930	Already at Schwab	Invest the \$8,717 sitting in the bank sweep; 2026 Roth contribution if Sadie has earned income.	Nothing to transfer. Future gifts: 529 vs UTMA is a control and financial-aid question.
5	my529 — Wren	\$57,240	Keep at my529	No action. Consider opening a 529 for Sadie.	Schwab does not run its own 529; my529 at 0.08% admin is already low-cost.
6	Prudential life policy V2 668 056	not shown	Outside Schwab — review separately	Request an in-force illustration and the annual statement.	Only the \$500/yr planned-premium notice is on file; cash value and cost of insurance unknown.
7	Mortgage — RoundPoint 2.75%	-\$467,836	Keep; do not prepay	—	≈24 years left; the rate is below what cash earns.

Sequence

- **Before anything:** confirm Evans Group Home Loans has no employees other than Tommy and Emma (otherwise the Individual 401(k) is not available and a low-cost pooled-employer or open-architecture 401(k) is the alternative); get the Equitable contract's fee and withdrawal-charge schedule in writing; get the DB plan statement and the Prudential annual statement.
- **Now, inside the existing plan:** move the \$119,053 GIO balance into the plan's EQ/Equity 500 Index or a bond index option while the transfer restriction is waived — or at minimum into the target-date fund — so the money is not stuck when the plan terminates. This is worth about \$2,024 a year on its own.

- **Open the Schwab accounts:** Individual 401(k) (traditional + Roth) with Evans Group Home Loans as sponsor, and a joint TOD brokerage account. Schwab's plan documents must be adopted before the Equitable plan is terminated so the assets have somewhere to go.
- **Transfer:** ACAT the joint account in kind; direct plan-to-plan rollover of both 401(k) balances; file the final Form 5500 for the Equitable plan. If in-service distribution of the rollover source is allowed, the \$108,707 can move to a Schwab Rollover IRA immediately without waiting on plan termination.
- **Re-invest at Schwab:** a single low-cost target-date index fund or a three-fund index portfolio in the 401(k); SWVXX for cash everywhere; decide on the STRIP and SpaceX in the joint account on their merits rather than by inertia.
- **Housekeeping:** invest the idle sweep cash in the children's accounts; check Sadie's earned income for a 2026 Roth contribution; consider a 529 for Sadie; keep the 2.75% mortgage.

Defined-benefit plan. This is the biggest unknown. A DB plan funded through a buffered index annuity is unusual; whether to keep it (Schwab's Personal Defined Benefit Plan needs \$90k+/yr of contributions and starts at \$2,250 to set up), freeze it, or terminate and roll it into an IRA depends on the plan's funding status and the business's cash flow — and on exiting the annuity segments at maturity rather than paying a 3% withdrawal charge plus an interim-value haircut. Recommend getting the contract value and the plan's actuarial report before the client meeting and treating it as a separate decision.

METHOD

How the numbers were built

- All eleven PDFs are scans; each page was read from the image and cross-checked against OCR. Every monthly/quarterly reconciliation on the statements ties (beginning + contributions – fees + earnings = ending).
- Statement dates differ: 401(k), joint and 529 are at 30 June 2026; the three Schwab custodial accounts at 31 July 2026. Totals mix those dates.
- The 401(k) statements provided are pages 1–3 and 8 of 8 (Tommy) and the equivalent for Emma; the missing pages would carry transaction detail and the fee disclosure. The joint account is pages 1–5 of 12; the my529 page 1 of 2.
- Cost figures: asset charge annualized from Q2; fund expense ratio from T. Rowe Price's 6/30/2026 fact sheet for the R class; SWYFX and SWVXX figures are approximate external inputs; LPL fees from its 1/1/2026 fee schedule; Schwab plan terms from schwab.com. All are listed on the workbook's Assumptions sheet and drive the Cost sheet.
- Companion workbook: T-V Portfolio Analysis.xlsx (household summary, holdings, cost analysis with ten-year projection, migration plan, assumptions, sources).
- This is analysis, not tax or legal advice; plan termination, DB-plan decisions and the Roth contribution question should be confirmed with the client's CPA and the plan's TPA/actuary.